

Google might get a rank close to 1 for return on invested capital and close to 3,000 for P/E ratio, yielding a total number around 3001. It is thus unlikely to be a Magic Formula pick.

On the Magic Formula web site, you can enter two variables, the minimum market capitalization stocks you want to look at and the number of such stocks—25, 50, or 100. So, if you enter \$1 million minimum market cap and 100 stocks, the web site immediately generates a list of the 100 stocks with the lowest combined score on the two variables. Greenblatt does do some adjustments for excess capital, and so on, so it is not a totally raw data dump.

Greenblatt goes on to suggest that an investor ought to build a portfolio of about 25 to 30 of these Magic Formula stocks. He recommends buying five to seven of them every two to three months. After a given stock has been held for a year, it is sold and replaced with another one from the updated Magic Formula list. Greenblatt's back-testing showed that these Magic Formula stocks have generated returns as high as 20 percent to 30 percent annualized. It trounces the S&P 500—with no thinking or analysis required.

If we step back and think about it, the Magic Formula is effectively an index. But it is the mother of all indexes—an index on steroids. I like to think of it as the Dhandho Index. It is an index that changes more frequently than other indexes, but the investor is better off as a result. Buying the 25 Magic Formula stocks staggered over the year automatically adds a dollar-cost averaging element into the index. And because the buy and sell decisions for each stock are so rigid and mechanical, there is no room for our poorly adapted, fear- and greed-driven brains to mess up our equity investing results.

Greenblatt, in his own portfolio, has been using the Magic Formula as a starting point for equity research. He runs a very concentrated portfolio at Gotham—typically five stocks make up 80 + percent of assets. Greenblatt is also not a slave to the Magic Formula's one-year mandate. He uses the Magic Formula as a screen and then, after careful analysis, decides which ones to buy. He loads up big time when he buys.